

MEMORANDUM OF ASSOCIATION OF THE COMPANY

Basic and Most Important Documents of a Company

INTRODUCTION



MEMORANDUM OF ASSOCIATION

It is a fundamental, public document & every person who deals with the company is presumed to have a sufficient knowledge of its contents & provisions.

It is the constitution of a company.

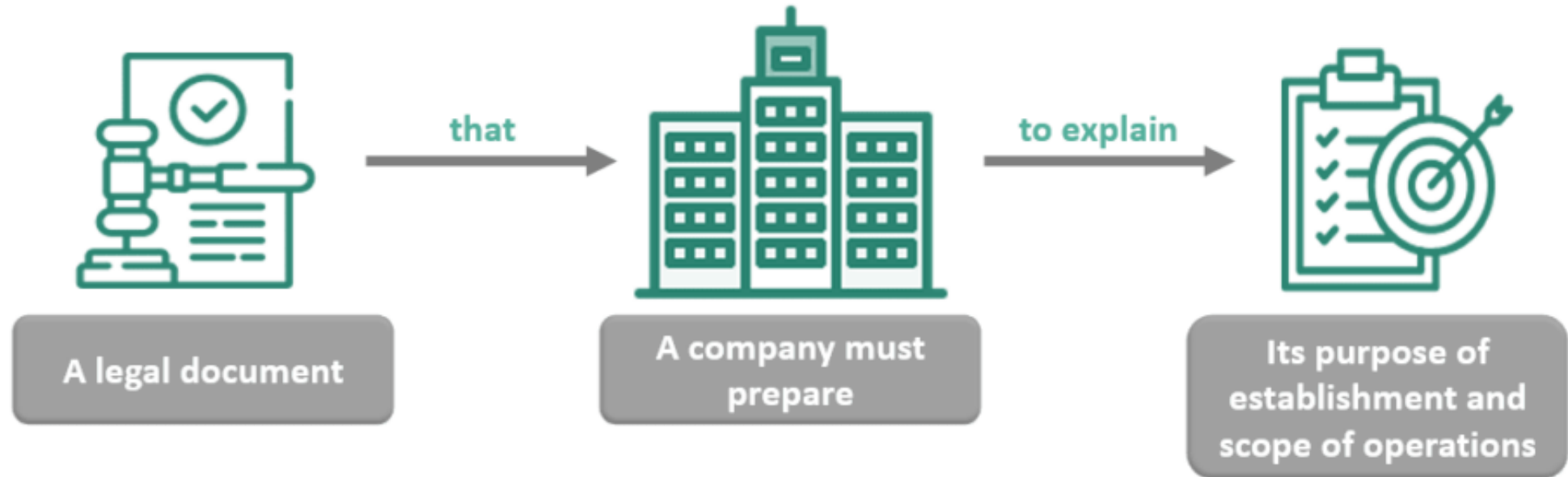
It is the charter which defines its *raison d'être* (i.e. reason for existence)

It contains the fundamental conditions under which company must be incorporated & determines the powers, objects and limits of the company.

Aims to enable shareholders and those who deals with the company to know what is the permitted range of enterprise is.

Defined under 2(56) of the company

Memorandum Of Association



PURPOSE OF MEMORANDUM

SHAREHOLDER'S

Prospective shareholders shall know the field in, or the purpose for, which their money is going to be used by the company and what risk they are understanding in making investment.

OUTSIDER'S

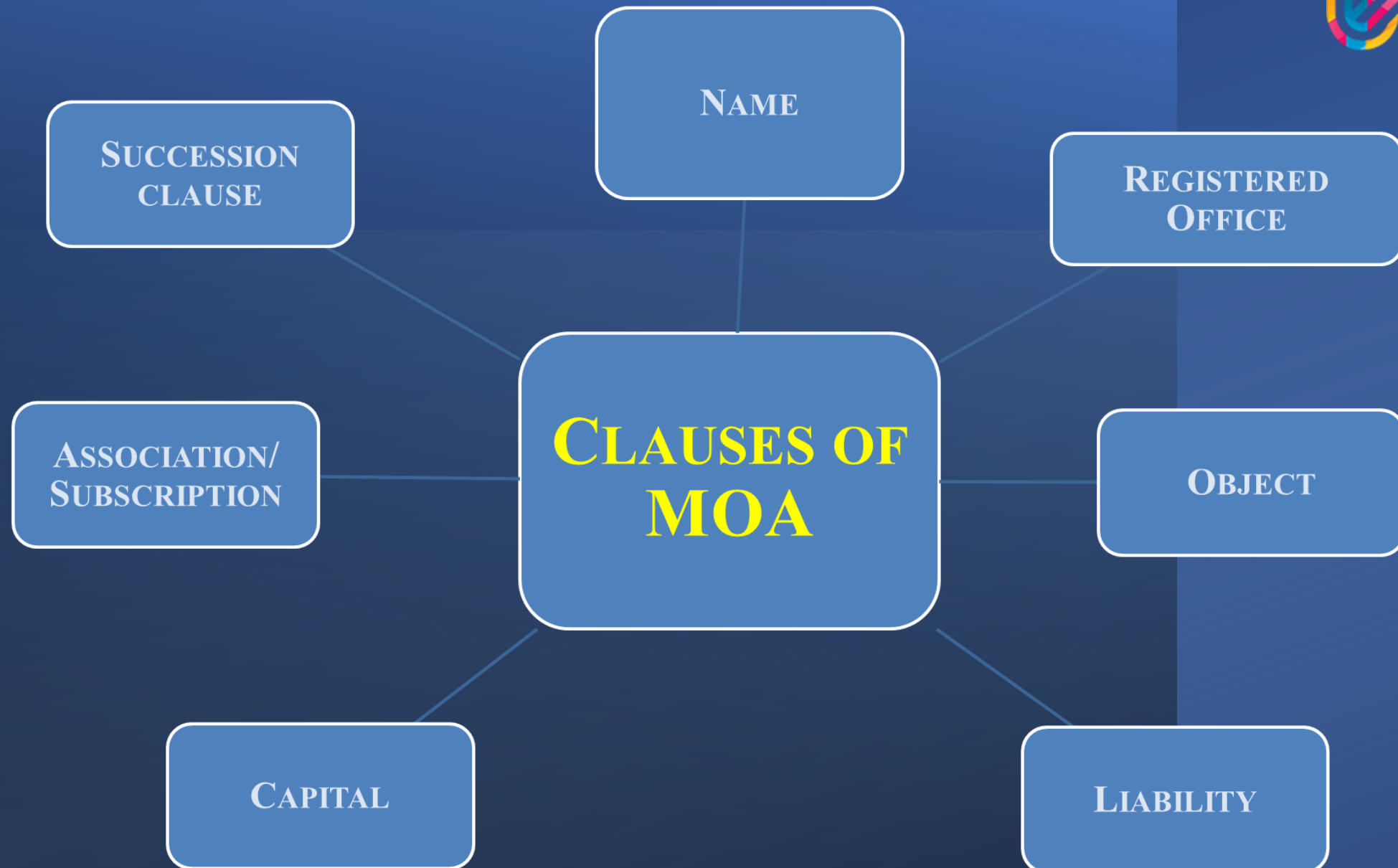
The outsiders dealing with the company shall know with certainty as to what the objects of the company are and whether the contractual relation into which they contemplate to enter with the company is within the objects of the company.

Case Law: Egyptian Salt and Soda Co. v. Port Said Salt Association Ltd.

MANDATORY REQUIREMENTS OF MOA

As per Section 4 to be read with Rule 13 of Companies (Incorporation) Rules, 2014:

- ❖ **In the format given in Tables A- E in Schedule I**
- ❖ **Memorandum must be printed.**
- ❖ **It should be divided into paragraphs**
- ❖ **Each paragraph should be consecutively (serially) numbered**
- ❖ **It should be signed by the required number of subscribers**
- ❖ **(Whereas , in case of public company and one in case of private company)**
- ❖ **Subscriber must sign in the presence of at least one witness**



THE NAME CLAUSE [SECTION 4 (1) (a)]

- The name of the company with “Limited” and “Private Limited” suffixed to its name in case of a public limited company respectively. However, Companies under Section 8 of the 2013 Act have been exempted from this requirement



- ❖ Section 4(2) to (5) of the 2013 Act deals with the provisions relating to the name of the company
- ❖ Section 4(2) prohibits use of names by the company which are identical with or resemble too nearly the name of an existing company
- ❖ It is also prohibited to use names by a company which gives an impression that the company is connected with the Central Government/ State Government or by any local authority, unless approved by the central government.

RESERVATION OF NAME (SECTION 4(4) AND (5))

- ❖ Section 4(4) provides that a person may make an application to the registrar for reservation of a name stated in the application as proposed name in case of a new company or the name to which the company proposes to change its name, in case of an existing company
- ❖ Section 4(5) confers the power to reserve the name as stated in the application under Section 4(4) of the 2013 Act for a **period of six months** from the date of application
- ❖ If it is found that the name was applied for, was by providing incorrect information, the applicant will be liable to a penalty which may extend up to **one lakh** rupees.

- Rule 8 of the Companies (Incorporation) Rules, 2014 deals with undesirable names and provides for the following:
 - Sub-Rule 1 provides whether a **proposed name is identical with another**
 - Sub-Rule 2 provides for a **list of situation or factors that shall make a name undesirable.**
 - Sub-Rule 3 deals with the **change of name** as a consequence of change in **activities** of the company.
 - Sub-Rule 4 provides for the requirements to be fulfilled in case the name proposed for the company is the **name of a person.**
 - Sub-Rule 5 provides that a declaration will be required from the applicant affirming or denying whether the name applied for incorporation has been used or is in **use for other business constitution**
 - Sub-Rule 6 provides a list of words which cannot be used in the name of the company unless previous approval of the Central Government has been obtained.
 - Sub-Rule 7 deals with words that may be used in the names of companies incorporated under Section 8
 - Sub-Rule 8 deals with the treatment of the names released on change of the name by a company.

THE REGISTERED OFFICE CLAUSE [SECTION 4 (1) (b)]

**LOCATION OF THE REGISTERED
OFFICE**

**OFFICIAL ADDRESS FOR
REGISTRATION**

BOOKS AND RECORDS KEPT.

THE OBJECT CLAUSE [SECTION 4 (1) (c)]

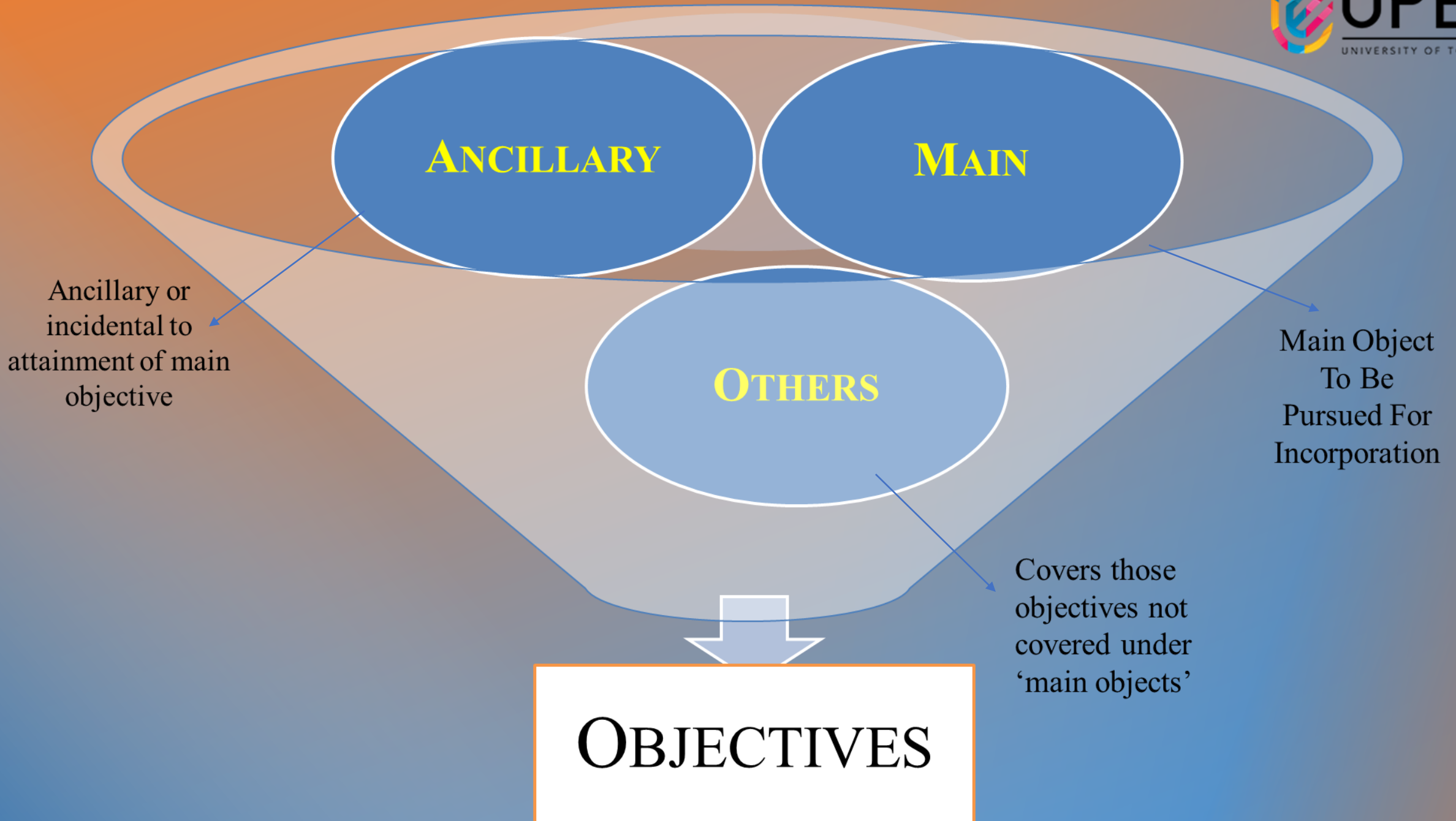
OBJECTS

DEFINES OBJECTS OF THE COMPANY

INDICATES SPHERE OF ITS ACTIVITIES

CO. CANNOT ACT BEYOND THE OBJECTS CLAUSE- *ULTRA VIRES* &
VOID- CAN'T BE RATIFIED BY RESOLUTION OF SHAREHOLDERS

COMPANY MAY DO ANYTHING INCIDENTAL/CONSEQUENTIAL UPON
OBJECTS SPECIFIED IN MoA



DOCTRINE OF CONSTRUCTIVE NOTICE

Doctrine of Constructive Notice

Doctrine- Principle/Theory Notice- Knowledge Constructive- Presumed to be done	Constructive notice is also known as “legal fiction” because the courts assume the interested parties have knowledge that they may not actually have.	Every outsider dealing with a company is deemed to have notice of the contents of the Memorandum and the Articles of Association.	Protects the company from Outsiders
--	--	--	--

IMPORTANT POINTS ABOUT THE DOCTRINE

Office of Registrar is a public office

On Registration MOA and AOA assumes the character of Public documents (Section 399)

They are open and accessible to everyone.

Presumption that the outsider has read MOA and AOA

the duty of every person dealing with a company to inspect these documents before making any dealings with the company

Kotla Venkataswamy v. Rammurthy (1934)

- Deed held invalid as it was not executed as per the terms of AOA

Irvine v. Union Bank of Australia, (1877)

Mahony v. East Holyford Mining Co. (1875)